

Human and Social Challenges

Lecture 5: Contemporary Issues in Social Policy and Social
Security

Human Society Lecture Building 1, Lecture Room 201

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1. Definition of Social Security

■ General Terminology of Social Security

(1) **Social insurance** such as medical insurance and pension insurance, (2) **Social welfare** for children, single-mother households, and persons with disabilities in need of social support, (3) **Public assistance** to ensure a minimum standard of living in good health and culture, and (4) Maintaining and improving the health of the people A general term for fields such as **public health**

1. Definition of Social Security

• Social Security System Council, "Recommendations on the Social Security System" (1950)

Social security is "the provision of economic security for the causes of disease, injury, childbirth, disinheritance, old age, unemployment, multiple births, and other causes of hardship, either by means of insurance or at public expense, and by guaranteeing a minimum standard of living through state assistance to those who have fallen into poverty, and by improving public health and social welfare, so that all citizens can live a life worthy of being members of a cultural society."

→ The idea of **guaranteeing a minimum level**

Reference: Article 25 of the Constitution of Japan

Every citizen has the right to a healthy and cultured minimum standard of living.

The State shall endeavor to improve and promote social welfare, social security and public health in all spheres of life.

1. Definition of Social Security

- First Report of the Social Security Future Vision Committee, Social Security System Council (1993)

Social security is “a public responsibility to provide benefits that support people’s lives with the aim of ensuring a healthy and secure life in the event that the stability of people’s lives is impaired.”

→ The idea of **guaranteeing livelihoods**

2. What are the functions of social security?

■ Minimum living guarantee function

- Minimum standard of living for all citizens

■ Income redistribution function

- Correction of disparities in primary income through social security benefits

Commensurate Burden and Need-Based Benefit Burden $\neq$ Benefit

■ Economic Stabilization Functions

- Supporting private consumption, smooth reproduction of the labor force, economic adjustment, and job creation

■ Social integration function

- Social stability through stabilization of daily life, mitigation of political conflicts

3. Scope of social security

- **What** does it guarantee?

→ The right to maintain the **minimum standards** of wholesome and cultured living, and the right to protect **livelihood**

- **Whom** is guaranteed by it?

→ All **Japanese citizens**, or **Japanese nationals: nationality or citizenship**

- **Who** does guarantee it?

→ Society, particularly, **the national and local governments**

- **How** do they guarantee it?

→ By way of **social insurance** and at **public expense (tax)**

3. Scope of social security

■ The scope of social security is broad.

- Social security covers most problems related to daily life but not everything.

It also varies from country to country.

■ The scope of social security in Japan

- Social security in a narrow sense

Public assistance, social insurance, social welfare, public health

- Social security in a broader sense

To addition the above, the benefits and support for war victims

- Related systems

Employment and Housing Measures

* In European countries, housing is also social security

■ The difference of national social security mechanisms

- Classification by Gosta Espin-Andersen's "welfare regime" theory

type	Key Features	size of income redistribution	Subject/Personality of Benefits	collaboration between welfare and employment support
Liberal regime (Anglo Saxon States)	market-oriented	small scale (Small Government)	It is often aimed at the needy. selectivism	strong Workfare : (Working is a condition of benefits)
Social democracy regime (Nordic countries)	The role of the state is great	large scale (Big Government)	Both for the active generation and for the elderly. universalism	medium Activation (increase employability)
Conservative regime (Continental European countries)	The role of family and work area is large	Medium to large scale	There are many benefits for the elderly. Social insurance is universal, public assistance is selective	medium to strong (Strengthening Trend)

Source: Created from Ministry of Health, Labour and Welfare 2012 White Paper on Health, Labour and Welfare
<https://www.mhlw.go.jp/wp/hakusyo/kousei/12/dl/1-04.pdf>

4. How to guarantee social security

■ Insurance method

- Social institutionalization through insurance = social insurance

- *Principles of insurance: (1) The law of large numbers, (2) The principle of income and expenditure, etc., and (3) The principle of equal benefits and adverse benefits.

- Differences between private insurance and social insurance: Social insurance is (1) compulsory enrollment, (2) public expenses and employer burdens, (3) insurance premiums are paid according to risk (insurance premiums are not set according to risk), and (4) insurance premiums are reduced or exempted.

■ Tax method

- Taxes = Institutionalization at public expense

National treasury contributions, national treasury subsidies, national treasury consignments, local government contributions, etc.

■ Combined insurance and tax scheme

- Social insurance is operated by insurance premiums and taxes (in addition, usage fees may be set)

- Tax input is indispensable to maintain the role of social insurance.

5. Basics of Social Insurance

5.1. Basic Structure of Insurance

(1) **Insurer**: The entity responsible for the operation of insurance. Collect insurance premiums and pay out insurance claims.

(2) **Insured person**: The entity covered by the insurance. Pay insurance premiums and receive insurance payments.

(3) **Insurance premium**: Money contributed by the insured to the insurer in order to obtain the right to insurance benefits

→ In other words, in consideration of the contribution of insurance premiums, the insured person is entitled to insurance benefits. There is a clear relationship between benefits and burdens in premiums, which is different in nature from taxes.

5.2. Insurance Principles

(1) Law of large numbers: A law that states that if you observe a large number of events that appear to be random in individual cases, the probability of the occurrence of the event approaches a certain value. For example, flip a coin and think about whether it will be tails or heads. It may happen to be tails several times in a row, but if you repeat it thousands or tens of thousands of times, it means that the probability of tails appearing is infinitely close to 0.5.

The participation of a large number of people is necessary for the stable operation of → insurance.

5.2. Insurance Principles

(2) **Principle of income and expenditure phase**, etc. : The principle that the total amount of insurance premiums (total income) is necessary to be commensurate with the total amount of insurance benefits (total expenditure)

→ if this is not done, you will not be able to pay.

(3) **Principle of equal benefit and counter-benefit**: The principle that each person's insurance premium is equal to the expected value of the insurance claim received in the event of a risk.

→ this principle is characterized as actuarial fairness.

→, however, the principle of equal benefits and adverse benefits is adopted by private insurance, but not by social insurance.

5.2. Insurance Principles

(3) Principle of equal benefit and counter-benefit: The principle that each person's insurance premium is equal to the expected value of the insurance claim received in the event of a risk.

→ consider, for example, the case of medical insurance. If the principle of equal benefits and adverse benefits is followed, people with serious illnesses will have to pay high premiums according to their risk, and conversely, insurance premiums for young and healthy people will be cheaper. At this time, there will be a situation where it will not be possible to guarantee adequate medical care for those who need medical services.

→ in order to avoid such a situation, social insurance forces the insured to join the insurance and adopts the principle of the insured's ability to pay the burden, that is, the rule of paying insurance premiums based on the burden according to the ability to pay the insurance premium. Specific rules for the burden of social insurance premiums are socially selected while taking into account the burden of proportionality for each social insurance.

→ In addition, social insurance is subsidized by social insurance premiums as well as in many cases by taxes related to benefits. As a form of social security, social insurance helps and supports each other throughout society through taxes.

5.2. Insurance Principles

- Risks and uncertainties

Concepts that can be calculated in advance may be considered risks. In that case, we distinguish between the two by calling the concept of uncertainty that cannot be calculated in advance.

→ adopts such a distinction, social insurance deals with uncertainty, and private insurance deals with risks that can be calculated in advance.

Summary of the main differences between social insurance and private insurance

	Social insurance	Private Insurance
Subscribe	Coercion	In principle, any * Automobile liability insurance, etc. There is also compulsory enrollment
Rules for Paying Insurance Premiums	Socially selected in consideration of the burden of response	Principle of Equal Benefit and Counter Benefit
Cost of benefits	Social insurance premiums, as well as often subsidized by taxes	Insurance premiums only
Uncertainty/Risks	Uncertainty (not calculable in advance)	Risks (Can be calculated in advance)

Source: Created with reference to Table 7-3 of Kakuno and Tanaka (2025:249)

6. Social Security and Public Finance

Public finance: In general, it is the activity of the national and local governments to procure the financial resources necessary to provide services, manage them, and spend the necessary expenses.

– Three functions of finance

(1) Provide **public services** and public facilities such as social security, education, roads, ports, water supply and sewerage, parks, police, fire departments, and defense necessary to maintain society.

(2) There is a **redistribution of income** through high taxes on high-income earners and cash benefits from social security.

(3) There is **economic stabilization** through policies related to economic recession and unemployment.

6. Social Security and Public Finance

■ Governing entities for social security finances: There are national governments, prefectures, and municipalities, and they vary depending on the type of social security. For example, public pensions are provided by the national government, national health insurance is provided by prefectures and municipalities, and long-term care insurance is provided by municipalities and special wards.

Composition of social security funding

- It consists of other income such as social insurance premiums, public expenses (taxes, etc.), and user fees.

→ the relationship between benefits and burdens is clarified in the order from left to right of user fees, social insurance premiums, and taxes.

6. Social Security and Public Finance

■ Accounting and Budgeting

Accounting in finance is the management and recording of the balance of money (income and expenses). The fiscal year for management and recording is one year from April 1 to March 31 of the following year by the national and local governments.

– A budget in fiscal policy is an estimate of revenues and expenditures for one fiscal year (hereinafter referred to as a fiscal year). All revenues in a fiscal year are called revenues, and all expenditures are called expenditures.

6. Social Security and Public Finance

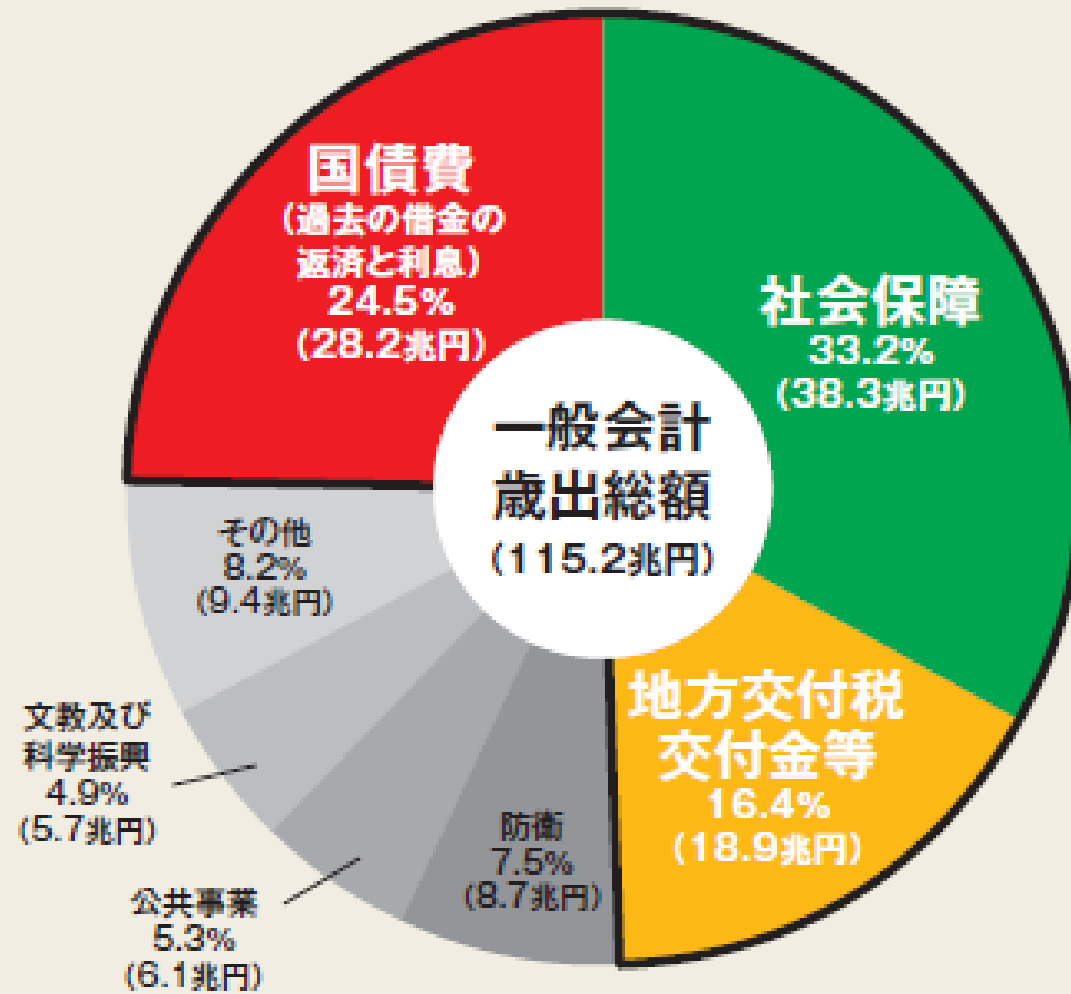
■ General account

The **general account** is an account related to expenses that promote the central policies of the country, prefectures, and municipalities, and the general account of the country will be described here.

→ country's general account includes **social security-related expenses** such as welfare and social welfare expenses. Social security-related expenses are expenses spent for social security in **the country's general account appropriations**.

Social security-related expenditures in fiscal **→2025 (Reiwa 7)** will be **38.3 trillion yen, which is 33.2% of** the total general account expenditure, the largest proportion

【2025年度予算】

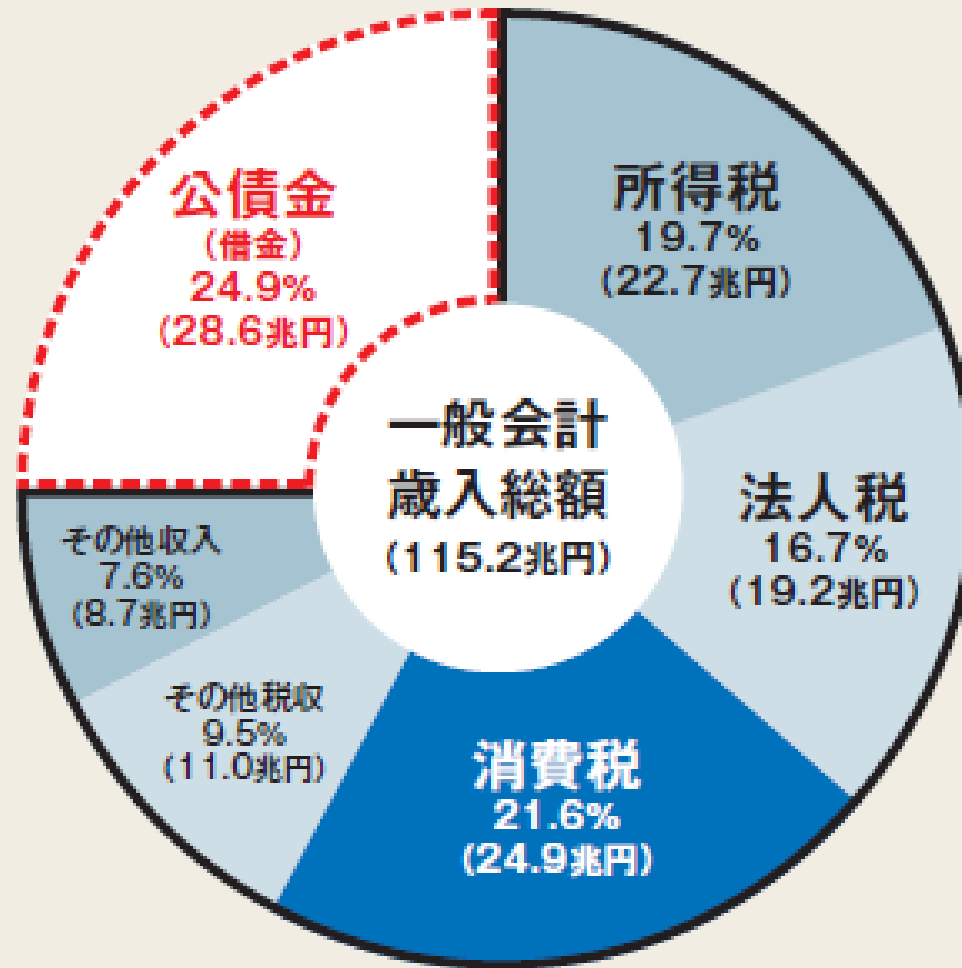


6. Social Security and Public Finance

■ General account

In the **general account revenue**, the debt of the national and local governments, called public bonds, that is, the debt of the “public” accounts for the largest proportion, followed **by the consumption tax**, and then **the income tax**.

【2025年度予算】



6. Social Security and Public Finance

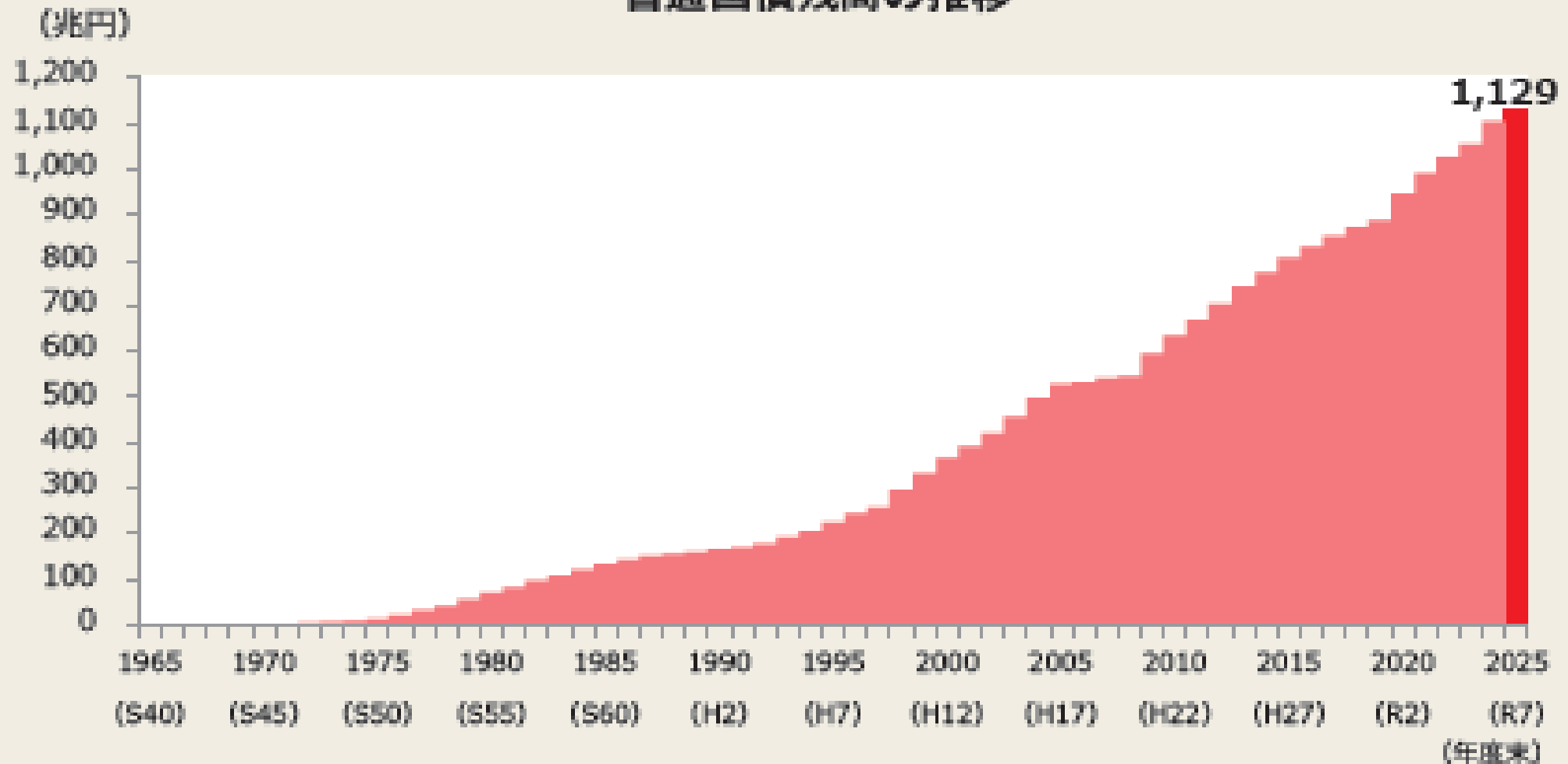
- In general account expenditures, the repayment of the national debt called the national debt expenses, which is about 28.2 trillion yen, accounts for a large proportion of the expenditure after social security-related expenses.

- a large proportion of the general account revenue is the national debt, which is called public debt of about 28.6 trillion yen.

- In other words, the country borrows more new debt than it repays, and the difference is the budget deficit.

- the balance is accumulated every year, and is expected to reach 1,129 trillion yen by the end of fiscal 2025.

普通国債残高の推移



(注) 2023年度までは実績、2024年度は補正後予算、2025年度は予算に基づく見込み。

6. Social Security and Public Finance

■ Special Accounts

- Organized mainly for specific businesses.

Example: Pension Social Security Benefits

It is an expense used for social security in both the general account budget and the special account budget, and is the total amount of social insurance and welfare-related benefits such as pensions and medical care paid to the public in one year according to the standards set by the International Labour Organization (ILO).

6. Social Security and Public Finance

Social Security Benefits

- Social security benefit expenses in FY2022 (Reiwa 4) are 137.8337 trillion yen, and social security funding is 152.9922 trillion yen.

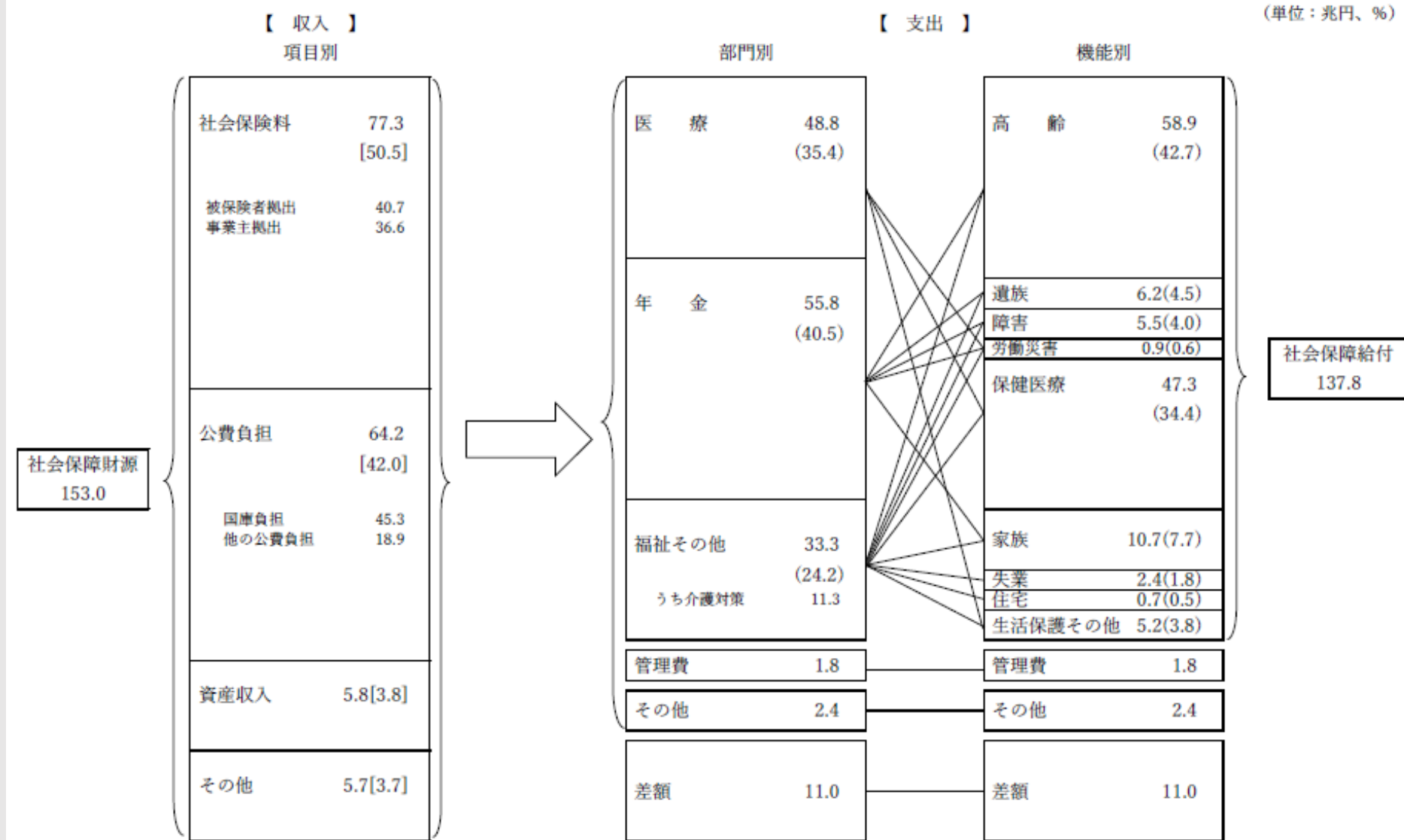
By sector, the proportion of pensions is the largest, followed by healthcare. In addition, by function, elderly people are the largest.

*Source of the next slide

National Institute of Population and Social Security Research, 2024, "Overview of Social Security Costs for FY2022", p. 10

<https://www.ipss.go.jp/ss-cost/j/fsss-R04/1/R04-gaiyou.pdf>

参考図 ILO基準における社会保障財源と社会保障給付のイメージ図（2022年度）



Current status of social security benefits and burdens

社会保障の給付と負担の現状(2024年度予算ベース)

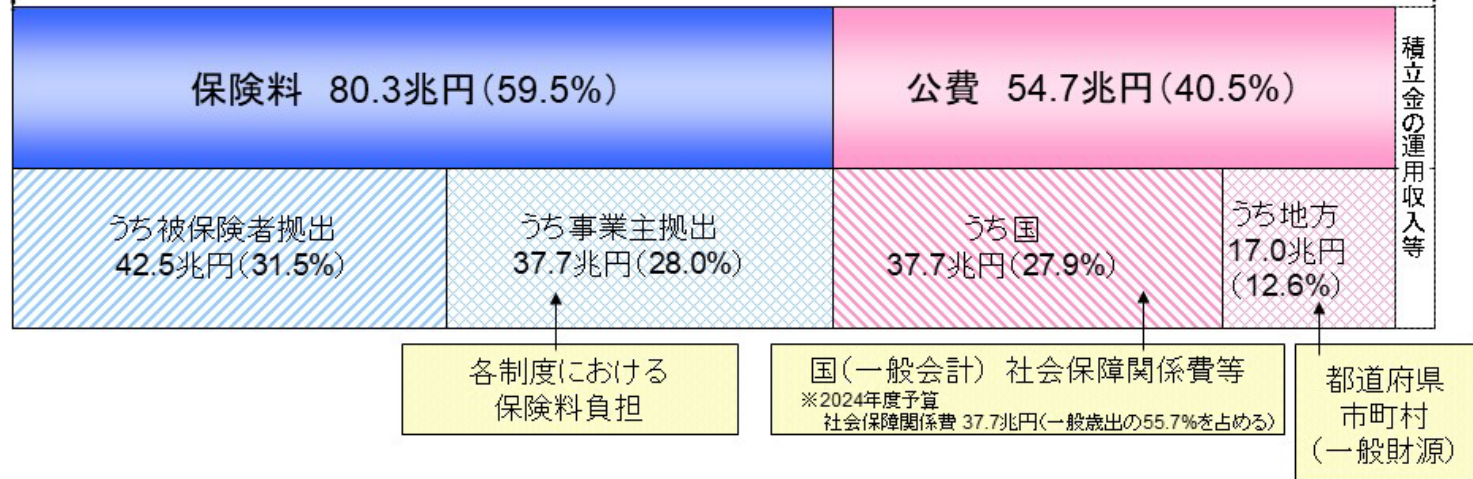
社会保障給付費 2024年度(予算ベース) 137.8兆円 (対GDP比 22.4%)

【給付】

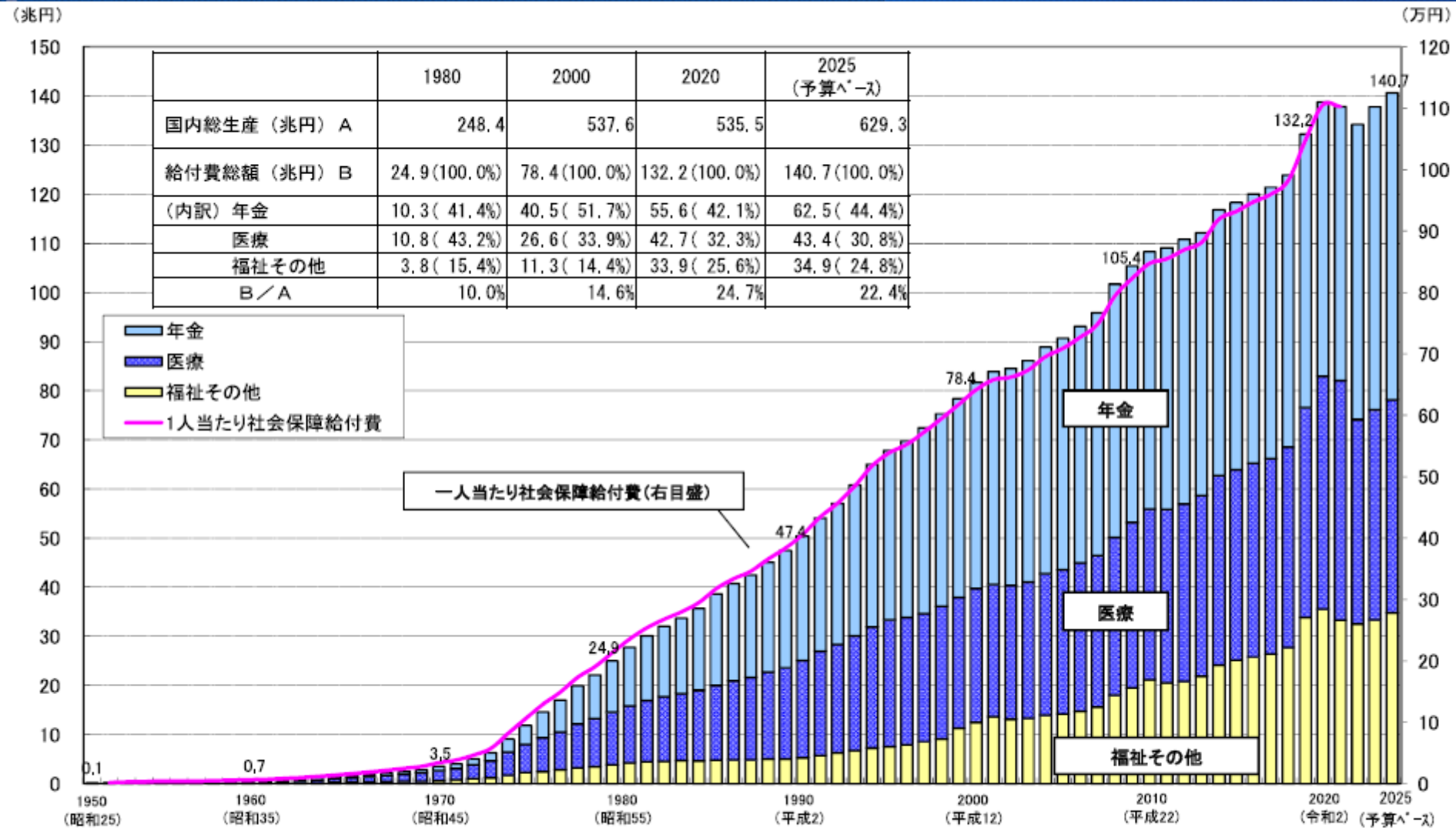
社会保障給付費



【負担】



社会保障給付費の推移



資料: 国立社会保障・人口問題研究所「令和4年度社会保障費用統計」、2023～2025年度(予算ベース)は厚生労働省推計、

2025年度の国内総生産は「令和7年度の経済見通しと経済財政運営の基本的態度(令和7年1月24日閣議決定)」

(注) 図中の数値は、1950, 1960, 1970, 1980, 1990, 2000, 2010, 2020及び2025年度(予算ベース)の社会保障給付費(兆円)である。

6. Social Security and Public Finance

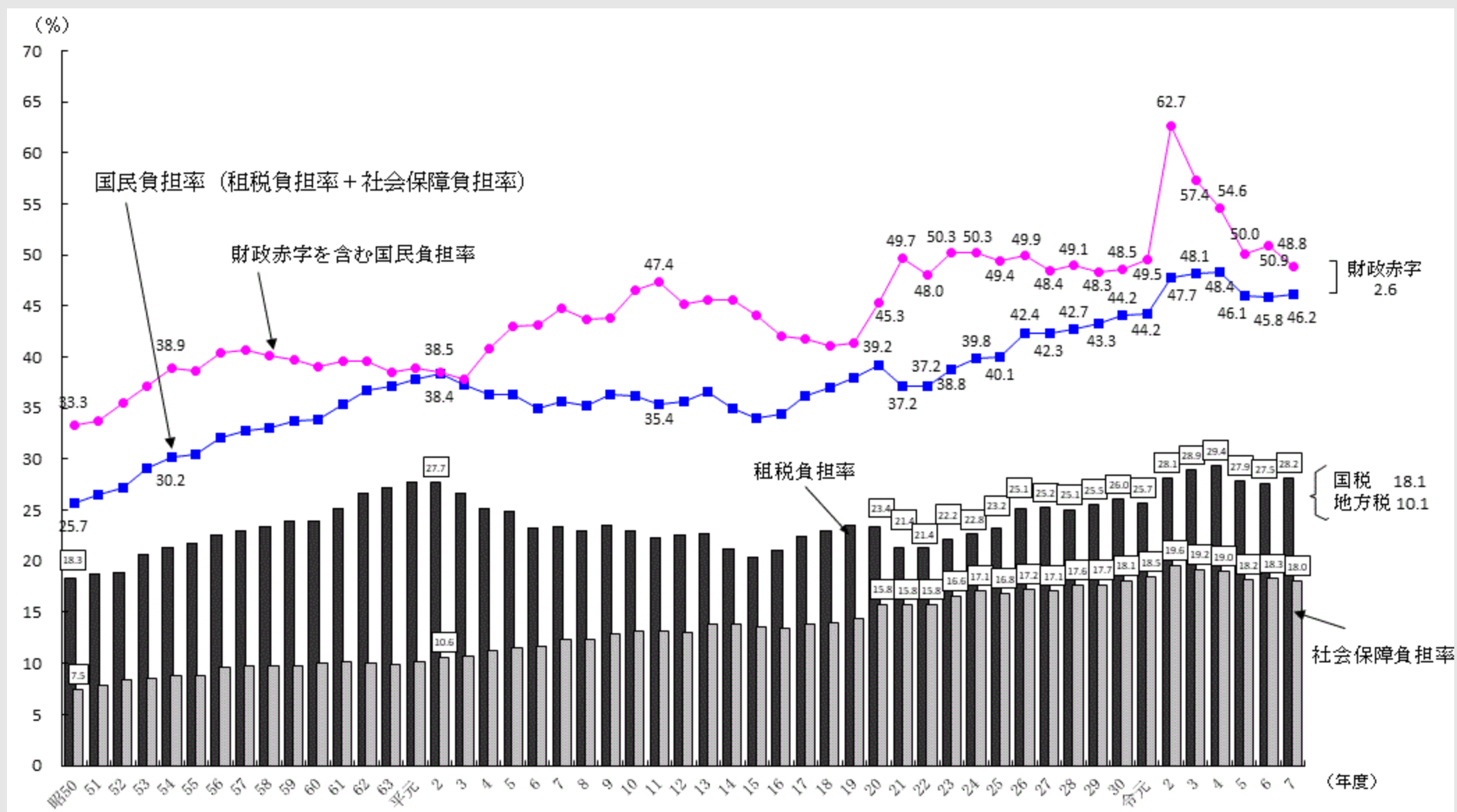
■ National burden rate

Ratio of mandatory public burden, including tax burden and social security contribution, to national income

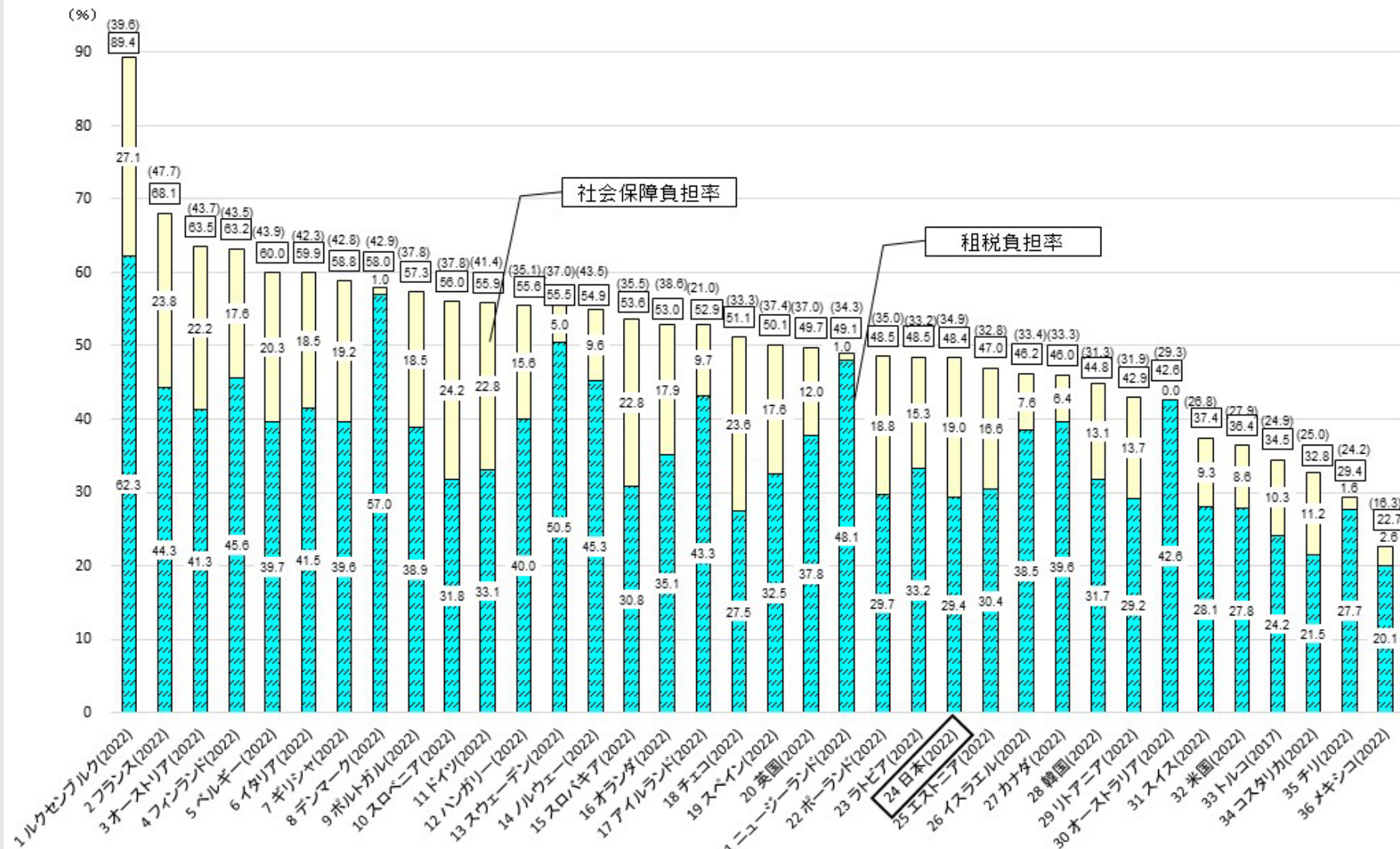
■ National burden rate, including budget deficit

The national burden rate plus the budget deficit as a potential burden on future generations

https://www.mof.go.jp/tax_policy/summary/condition/a04.htm



国民負担率の国際比較（OECD加盟36カ国）

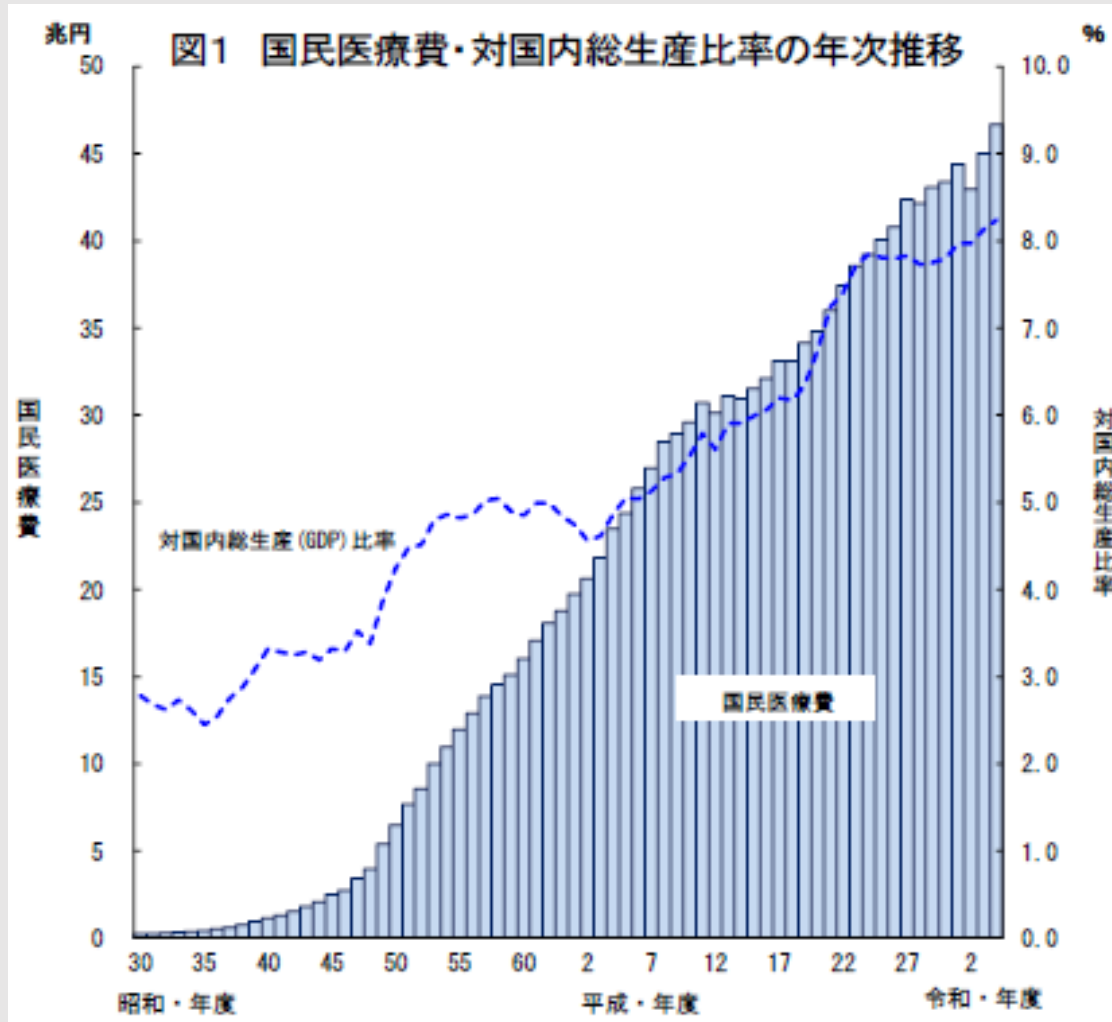


（注1）OECD加盟国38カ国中36カ国。オーストラリアについては推計による暫定値。それ以外の国は実績値。コロンビア及びアイスランドについては、国民所得の計数が取得できないため掲載していない。

（注2）括弧内の数字は、対GDP比の国民負担率。

（出典）日本：内閣府「国民経済計算」等 諸外国：OECD「National Accounts」、「Revenue Statistics」、アメリカ商務省経済分析局

National Health Expenditure and Aging



National health expenses are the total amount of medical expenses such as medical insurance, worker's compensation, medical assistance, and publicly funded medical care (including out-of-pocket expenses). Excluding normal births, differential beds, over-the-counter medications, etc.), and shows how much money is spent on medical care each year (Kakuno and Tanaka 2025:59). It accounted for **8.24% of GDP** (gross domestic product) in 2022, or **46.6967 trillion yen**

Factors of increase

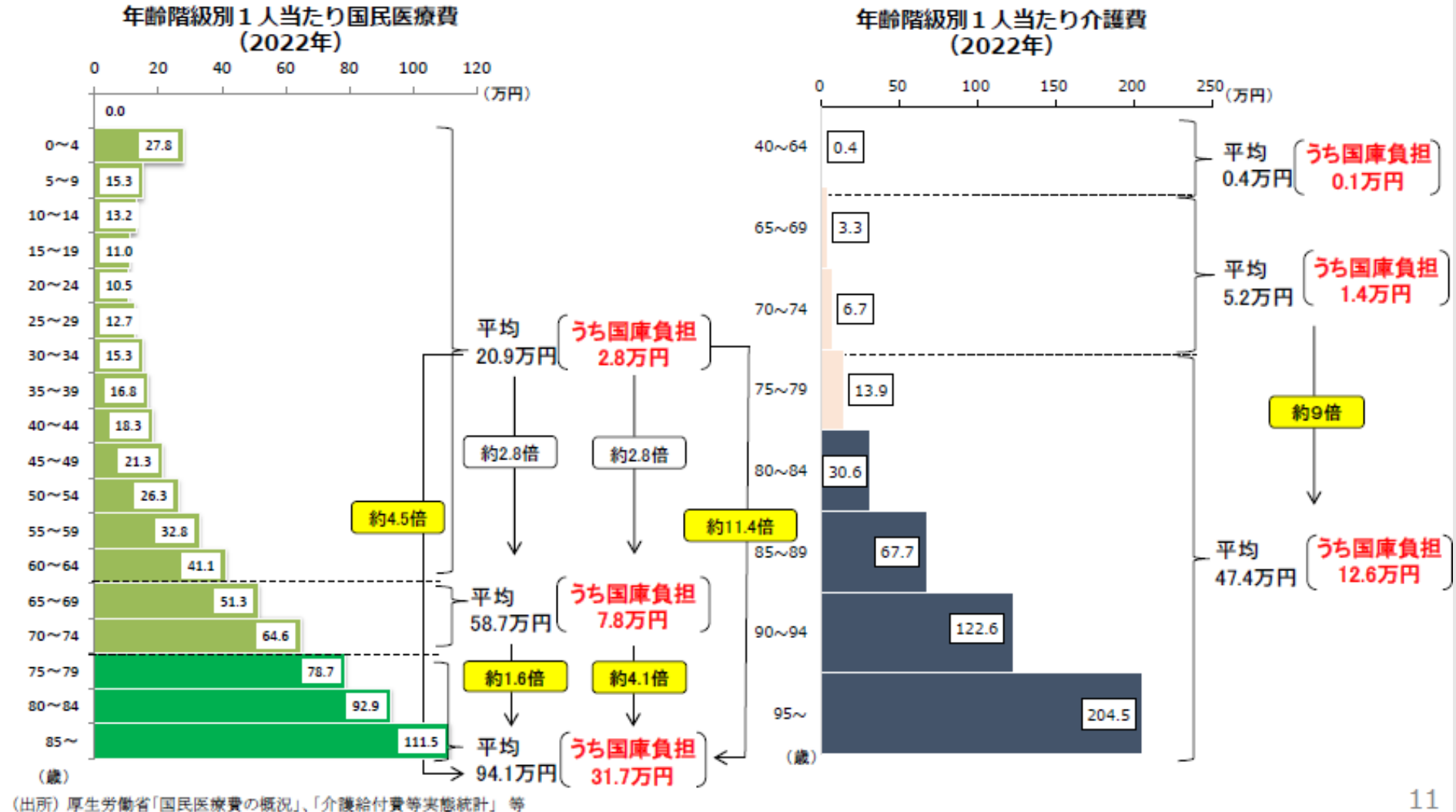
- Changes in medical care due to **the advanced technology of medical care**
- Establishment of a medical care provision system
- Increase **in the number of elderly people**

Source: Ministry of Health, Labour and Welfare [Reiwa 4 \(2022\) National Medical Expenses](#)

年齢階級別 1 人当たり医療・介護費について

持続可能な
社会保障制度の構築①

- 2025年に、いわゆる「団塊の世代」の全員が後期高齢者である75歳以上になるが、75歳以上になると、1人当たりの医療・介護の費用が大幅に増加。そのため、医療・介護分野等の給付の効率化・重点化に取り組んでいく必要がある。



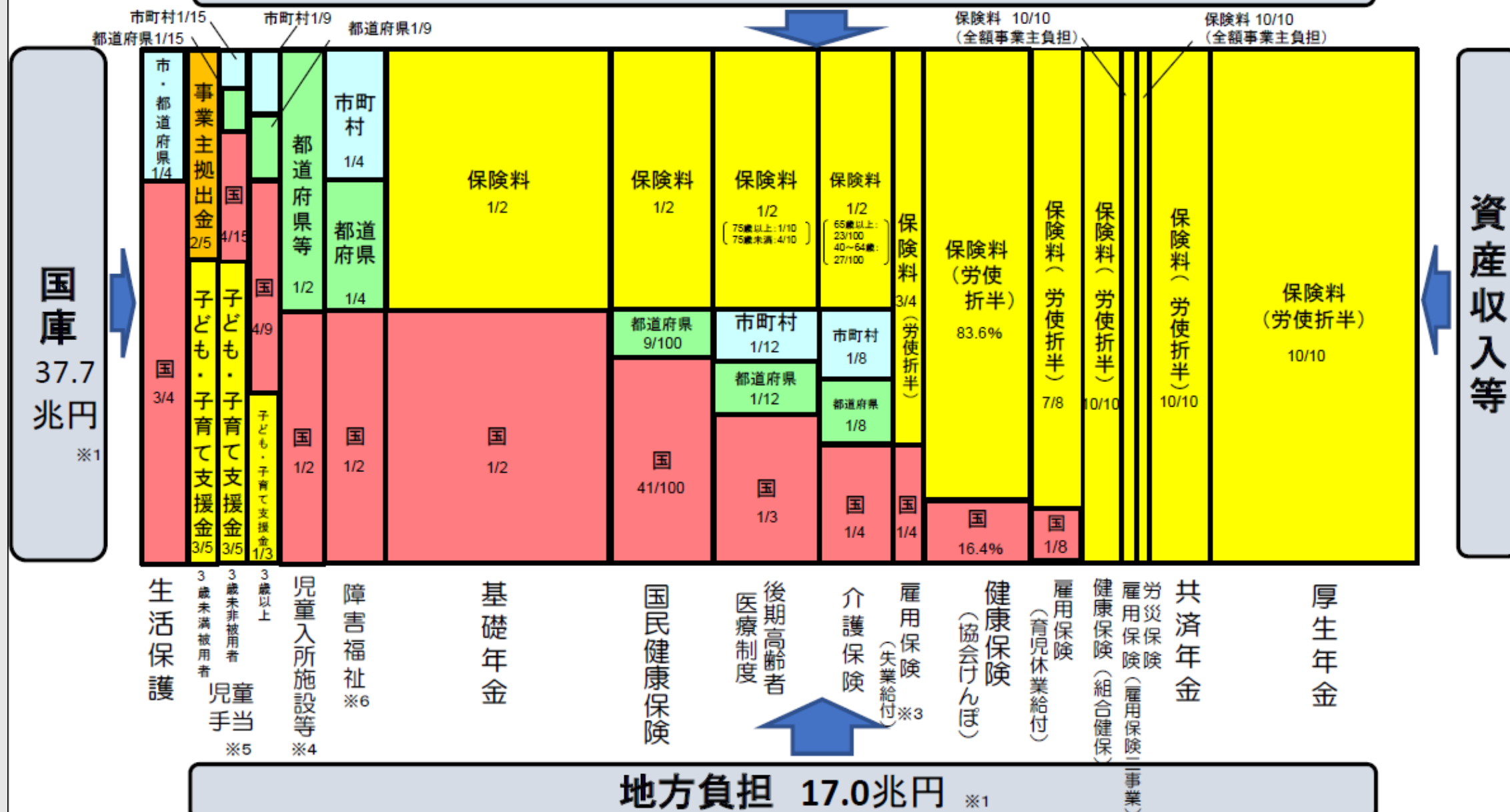
6. Social Security and Public Finance

■ Basic Structure of Social Security Finances

▪ Source: Ministry of Finance, Fiscal System Subcommittee,
Reference: [Building a Sustainable Social Security System
\(Fiscal Studies II\)](#) (April 23, 2025), p. 5, 9

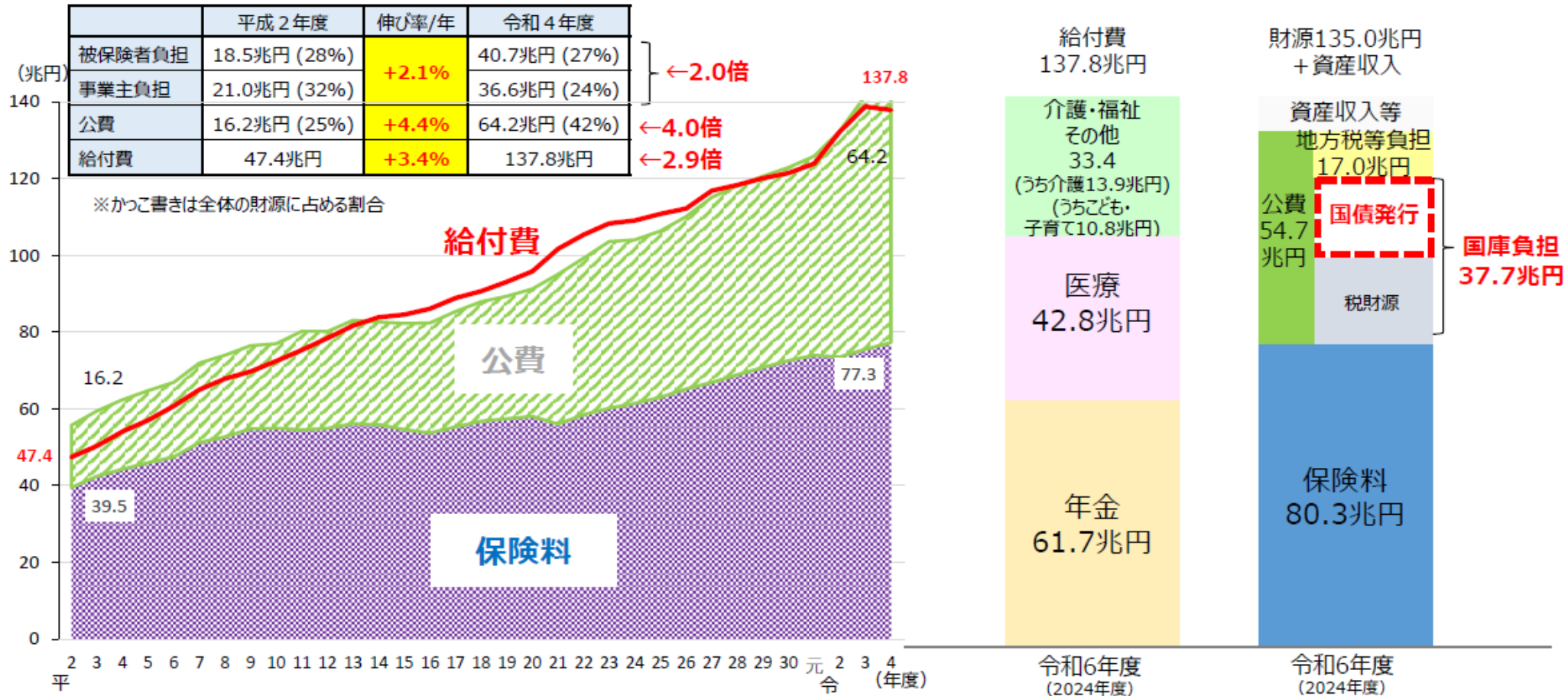
社会保障財源の全体像（イメージ）

保険料 80.3兆円 ※1、2



社会保障における受益（給付）と財政の関係

- 我が国の社会保障制度は、受益（給付）と負担の対応関係が本来明確な社会保険方式を採りながら、後期高齢者医療・介護給付費の5割を公費で賄うなど、**公費負担**（税財源で賄われる負担）に**相当程度依存**している。その結果、近年、公費の比重の大きい後期高齢者医療・介護給付費の増に伴い、公費負担への依存度が著しく増加している。
- その際、本来税財源により賄われるべき公費の財源について特例公債を通じて将来世代へ負担が先送りされているため、**負担増を伴わないままに受益（給付）が先行**する形となっており、受益（給付）と負担の対応関係が断ち切られている。負担の水準の変化をシグナルと捉えて受益の水準をチェックする牽制作用を期待できないまま、受益（給付）の増嵩が続いている（＝我が国財政悪化の最大の要因）。



(90) (92) (94) (96) (98) (00) (02) (04) (06) (08) (10) (12) (14) (16) (18) (20) (22)

(出所) 国立社会保障・人口問題研究所「令和4年度社会保障費用統計」、令和6年度の値は厚生労働省（当初予算ベース）

(注1) 令和4年度以前については決算ベース、令和6年度については当初予算ベースであり、新型コロナウイルス感染症対策に係る事業等に伴う支出の扱いが異なる点に留意。

(注2) 令和4年度の給付費については、社会保障給付費（公表値）から新型コロナウイルス感染症対策に係る事業等に係る費用（公表値）を除いた場合、129.3兆円となる。

7. Challenges of Social Security

Sustainability of social security finances in an aging society with a declining birthrate

- Principle of burden of ability to pay in cross-generationalation

- Circulation of the relationship between "recipients" and "supporters" of social security

→ for example, in the concept of a local communities, "recipient = supporter" receives support and becomes "supporter = supporter", for example, to increase employment opportunities for the elderly and people with disabilities.

→ it is important to publicly support the "mutual support" of people.

地域共生社会とは

◆制度・分野ごとの『縦割り』や「支え手」「受け手」という関係を超えて、地域住民や地域の多様な主体が『我が事』として参画し、人と人、人と資源が世代や分野を超えて『丸ごと』つながることで、**住民一人ひとりの暮らしと生きがい、地域をともに創っていく社会**

